



“In 2024, we expanded our adjusted EBITA margin and delivered on our cash targets within a challenging growth environment. This was driven by our industry-leading innovations, as well as progress on our execution priorities and productivity measures.”

Charlotte Hanneman CFO Royal Philips

3.1 Performance summary

The year 2024

- Sales amounted to EUR 18.0 billion, a decrease of 1% on a nominal basis. On a comparable basis*, sales increased 1%, on the back of solid growth in 2023. Growth in Mature Geographies was partly offset by the decline in China. Comparable sales* showed 1% growth in the Diagnosis & Treatment segment, 2% growth in the Connected Care segment, and 1% decline in the Personal Health segment due to the decline in China.
- Income from operations improved to EUR 529 million, mainly driven by higher gross margin and lower Respiroics related items, partially offset by higher impairment charges.
- Net income amounted to a loss of EUR 698 million, mainly due to Respiroics litigation provision charges of EUR 984 million, partly offset by Respiroics insurance income of EUR 538 million, and tax expenses including deferred tax asset derecognition of EUR 941 million, compared to a loss of EUR 463 million in 2023.
- Adjusted EBITA* amounted to EUR 2,077 million, or 11.5% of sales, compared to 10.6% of sales in 2023. Connected Care and Personal Health segments showed an increase in Adjusted EBITA* margin, mainly driven by operational improvements and productivity actions, partly offset by cost inflation. Diagnosis & Treatment segment remained flat year over year.
- Net cash flows from operating activities amounted to EUR 1,569 million; free cash flow* amounted to EUR 906 million.
- Philips cancelled approximately 4.4 million shares acquired under its 2021 share repurchase program for capital reduction purposes.

Philips Group

Key data in millions of EUR unless otherwise stated

	2023	2024
Sales	18,169	18,021
Nominal sales growth	2%	(1%)
Comparable sales growth ¹	6%	1%
Impairment of goodwill	(8)	
Income from operations	(115)	529
as a % of sales	(1%)	3%
Financial expenses, net	(314)	(282)
Investments in associates, net of income taxes	(98)	(124)
Income tax (expense) benefit	73	(963)
Income from continuing operations	(454)	(840)
Discontinued operations, net of income taxes	(10)	142
Net income	(463)	(698)
Adjusted EBITA ¹	1,921	2,077
as a % of sales	10.6%	11.5%
Income from continuing operations attributable to shareholders ² per common share (in EUR) - diluted	(0.48)	(0.90)
Adjusted income from continuing operations attributable to shareholders ² per common share (in EUR) - diluted ¹	1.21	1.39

¹ Non-IFRS financial measure. For the definition and reconciliation of the most directly comparable IFRS measure, refer to [Reconciliation of non-IFRS information](#).

² Shareholders in this table refers to shareholders of Koninklijke Philips N.V. Per share calculations have been adjusted retrospectively for all periods presented to reflect the issuance of shares for the share dividend in respect of 2023.

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